

SELF-EMPLOYED PROFESSIONALS VERSUS OTHER BUSINESS OWNERS

Fewer than one in five millionaire business owners turns his business over to his children to own and operate. Why? Give credit to wealthy parents. They know the odds of succeeding in business. They understand that most businesses are highly susceptible to competition, counter consumer trends, high overhead, and other uncontrollable variables.

So what do these millionaires advise their children to do? They encourage their children to become self-employed professionals, such as physicians, attorneys, engineers, architects, accountants, and dentists. As stated earlier, millionaire couples with children are five times more likely to send their children to medical school than other parents in America and about four times more likely to send them to law school.

The affluent know the risks and the odds of succeeding or failing in business. They also seem to understand that only a small minority of self-employed professionals fail to make a profit in any given year, and that the profitability of most professional service firms is substantially higher than the average for small businesses in general. We will elaborate on these issues with hard numbers. But first let's discuss the other attributes associated with being a self-employed professional.

For a moment assume you are Mr. Carl Johnson, the sole proprietor of Johnson Coal. You're the owner of one of the twenty-six coal mining businesses that made a profit last year out of the seventy-six in the industry. Not long ago, 717 sole proprietors were still in your industry. More than nine of every ten made a profit. Now the industry has been reduced in number by 90 percent. But you're tough, you're resourceful, and you're intelligent. In spite of the withdrawal of most of the other operators, you hung in there. Now you're reaping the benefits. You made a net profit of \$600,000 last year. And you're doing well this year. Now you have two children in college who are outstanding students. You begin to ask yourself some questions:

- ◆ Should I encourage my David and Christy to become involved in the coal mining business?